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POLICY NUMBER: FP-OPSFIN-130

Revenue Reconciliation

This policy provides guidelines for balancing and reconciling revenue at the Hotel.

POLICY STATEMENT

Rooms, Food & Beverage (F&B), and Other revenue is derived from the Property Management System (PMS) and/or Point of Sale (POS) systems and validated by Team Members under the direction of the Finance or Operations Leader.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. LEDGER BALANCING

- 1) Daily, the Guest, City, and Advance Deposit ledger PMS reports must be reconciled to the General Ledger.
- 2) Separate balances must be maintained in the General Ledger for the Guest, City, and Advance Deposit ledger accounts.
- 3) The Advance Deposit ledger must be reviewed on a daily basis to ensure that stale or dated credits are refunded or credited to income timely.
- 4) The House Account must be reviewed daily to ensure that accounts are cleared timely. The purpose of each House Account needs to be clearly labeled in the PMS, and should be approved by the Finance or Operations Leader.
- 5) Each month-end, credits remaining in the Guest and City ledger must be reclassified to a liability account, while any debits in the Advance Deposit ledger must be reclassified to an asset account. A journal entry is required to ensure proper classification of assets and liabilities at month-end.

B. DAILY REVENUE RECONCILIATION CONTROLS

- 1) Daily, a reconciliation of all revenue & settlement amounts per the POS, PMS, and other revenue sources is performed and recorded through an Income Journal.
- 2) Daily, the Income Auditor (or equivalent) must review, investigate, and resolve any variances as a result of the revenue & settlement reconciliation automatically performed in Operations Audit (OA) or equivalent system. Any manual changes as a result of investigating these variances must be supported by back-up documentation corresponding to the amount and all back-up documentation must be maintained.
- 3) A Team Member independent of the Income Auditor (or equivalent) must review / approve the daily Income Journal as evidenced by signature & date and ensure that the journal is posted to the General Ledger (unless system automated) prior to month-end close.
- 4) Monthly, the PMS revenue must be reconciled to the GL, with any variance explained

C. ROOMS REVENUE INTEGRITY CONTROLS

Rate Integrity Review

- 1) Daily, the Reservations and/or Revenue Manager (or designee) must review both the Rate and the Rate Override Report (or similar PMS reports) for any low or unusual rates. The reviewer should document and follow-up on any discrepancies or unusual items, and sign and date the reports as evidence of review.
- 2) The approved reports must be retained. The version of the report reviewed must cover all changes performed for the full day (i.e., after the completion of night audit procedures)
- 3) All complimentary and house use rooms must be approved by the Operations Leader (or designee). Where possible, this approval should occur prior to the stay.

Housekeeping / Room Discrepancy Review

- 1) Room discrepancies arise when the Housekeeping status for a room is different from the status within the PMS (i.e., room is marked as vacant in PMS but Housekeeper finds the room dirty).
- 2) The Room Discrepancy Report must have documented reasons and explanations for discrepancies and the report should be signed by both parties (Front Office & Housekeeping). The report must be retained.

Other Rooms Revenue is miscellaneous revenue associated with guest rooms and should be charged at the discretion of Operations Management. Front Office and/or Reservations Management should periodically review Other Rooms Revenue and ensure guests are charged and/or fees are waived as appropriate.

Other Rooms revenue may consist of the following:

- 1) No-show fees: this is derived from a transient or group guest who has individually guaranteed payment to reserve a room, but failed to occupy the room. No room nights are to be recorded for a no-show.
- 2) Day use: this is derived from sources such as rooms used for hospitality suites, dressing rooms, employment interviews, movie auditions and wholesale distributors. No F&B services should be included.
- 3) Early departure fees
- 4) Late check out fees

D. OTHER REVENUE CONTROLS

Applicable system generated reports for all Other Revenue (i.e., parking, laundry, golf club, spa, etc.) should be obtained from the PMS, POS, or other source system and reviewed by management (at least prior to month-end close) to confirm that all due revenue has been charged or waived as appropriate.

E. FOOD & BEVERAGE (F&B) REVENUE CONTROLS

- 1) Food and Beverage (F&B) outlet revenue controls with an automated POS System (with electronic audit trail), are as follows:
 - a) The POS system must be balanced to PMS on a daily basis to ensure all revenues that have been posted in the PMS are balanced to the POS. All variances are to be investigated and the results and actions documented.
 - b) All voids, discounts, and entertainment / duty F&B charges are to be balanced and authorized by Management. The ability to perform voids and discounts in the POS should be restricted.
 - c) Review that no open checks exist. These checks must be immediately reviewed and closed as soon as possible.
 - d) All offline transactions should be properly recorded and reconciled. These items must be posted to the POS as soon as the system is online again.
 - e) Regularly review “no sale” transactions for suspicious activity.
- 2) Food and Beverage outlet revenue controls with a manual system (i.e., when no automated POS system exists or during emergency down times of the automated POS), are as follows:
 - a) Verify that all checks are sequentially pre-numbered and unused checks are secure, to prevent unauthorized access.
 - b) Issuance of the check must be documented through a logbook (or equivalent), recording the time and date, first and last check number, F&B outlet, and Team Member receiving the bills.
 - c) Verify that the outlets are using the checks in sequence and if an error is made on the bill, the check is to be marked as void and returned to the designated Income Auditor, or equivalent.
 - d) The designated Income Auditor, or equivalent, should verify the sequence of the checks in the outlets regularly to ensure that all checks have been accounted for over a certain period of time, following up on missing checks and obtaining explanations. A missing check report should be prepared detailing the missing numbers and giving explanations.
 - e) The designated Income Auditor, or equivalent, must record all the “No Sales” per manual register or till. This must then be issued to the relevant Department Heads for their review and follow-up.
 - f) Cash registers must be Z read; this is a printout of all the cash transactions with a total. The end of day (Z reading) must be completed by a Team Member outside of that particular F&B outlet’s cashier responsibilities. The designated Income Auditor should reconcile the cash readings or ticket sales to the cash deposits/takings as deposited with the General Cashier.
 - g) Track and document the progression of various control counters (i.e., Reset Counter, Non Re-settable Group Total and Programming Mode Counter) as applicable to the type of system, to ensure no unexplained gaps exist.
 - h) Spot checks of the prices charged on the manual register or till must be carried out on a regular basis. This must involve checking the price charged in the manual register or till for a number of items to the Hotel price list
 - i) Daily, check that all voided, discounted, and entertainment / duty F&B checks are balanced and have been approved by Management within two weeks.

F. CONFERENCE & EVENTS REVENUE CONTROLS

Conference and Events revenue may include Rooms, F&B, and all other sundry revenues, and controls are as follows:

- 1) The daily or weekly event order list must be obtained, verifying that each function has a Banquet Event Order (BEO).
- 2) All PMS / POS postings must be reconciled to the BEO to ensure all charges are reflected correctly. Any discrepancy must be documented and followed up to resolution. As a best practice, all conference F&B charges should be rung through the POS.
- 3) Ensure that the guaranteed numbers or amounts have been correctly charged.
- 4) For meeting packages rates, ensure revenue has been allocated correctly.
- 5) Documentation for all extra charges must be available and approved by an Authorized Group Contact. As a best practice, the Hotel should strive to have all BEOs (regardless of whether or not there were extra charges incurred) signed by the Authorized Group Contact.

G. MARKET SEGMENT AND STATISTICS CONTROLS

- 1) The Hotel must ensure all Rooms and F&B Revenue statistics are posted to the correct General Ledger accounts.
- 2) The Hotel should obtain the Occupancy Analysis Report (or equivalent) and compare it to the data in Operations Audit (or equivalent), resolve, and process corrections.

DEFINITIONS

TERM/ACRONYM	DEFINITION
Finance Leader	Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager).
Operations Leader	Ranking Operations representative for the property (i.e., General Manager, Hotel Director, or Operations Manager).